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Three weeks after
acquiring Windsurf,
Cognition offers staff the
exit door



Cognition, the AI coding startup that acquired rival company Windsurf three weeks ago, laid off 30 employees last week and is offering buyouts to the roughly 200 remaining employees on the team, [reports The Information](#).

This is the latest bout of whiplash that Windsurf employees have faced after a tumultuous stretch for the company. The startup was initially almost acquired by OpenAI, then lost its [CEO, co-founder, and research leads to Google](#) in a \$2.4 billion deal known as a reverse-acquire (where Google hired the key talent rather than buying the company), before ultimately getting [acquired by Cognition](#).

IMAGE CREDITS: COGNITION

At the time of the acquisition, Cognition stated that 100% of Windsurf employees would receive financial compensation as part of the deal and [stressed](#) that the company was excited to bring on Windsurf's "world-class people" to develop top-notch coding tools.

Now, it's becoming clear that Windsurf's intellectual property, not its talent, was the real buy.

According to an email The Information viewed, employees were given until August 10 to decide whether they want to take the buyout, which amounts to nine months of salary. Those who choose to stay are reportedly required to spend six days at the office and clock more than 80-hour

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weeks — draconian conditions that have become [table stakes among workers at top AI firms.](#)

“We don’t believe in work-life balance—building the future of software engineering is a mission we all care so deeply about that we couldn’t possibly separate the two,” wrote Cognition CEO Scott Wu in the email.

TechCrunch has reached out to Cognition for more details.

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Cognition, maker of the AI coding agent Devin, acquires Windsurf



[Cognition](#), the startup behind the viral [AI coding agent Devin](#), announced in a [blog post](#) on Monday that it has signed a definitive agreement to acquire [AI coding startup Windsurf](#).

The announcement comes just days after [Google hired away Windsurf's CEO](#) Varun Mohan, co-founder Douglas Chen, and research leaders in a \$2.4 billion reverse-acqui-hire that left much of the startup's 250-person team behind. Google's deal occurred just hours after OpenAI's \$3 billion offer to acquire Windsurf expired, clearing the way for the AI coding startup to explore other options.

The frenzy around Windsurf represents a new peak in the wild race to develop AI coding tools — specifically, the AI-powered integrated development environments (IDEs) that Cursor and Windsurf offer. In recent months, the businesses around AI-powered IDEs have skyrocketed, pushing Cursor's annualized recurring revenue (ARR) to \$500 million. While Windsurf's business is smaller than Cursor's, it has achieved impressive growth in the last year, garnering interest from several larger companies.

"The last 72 hours have been the wildest rollercoaster ride of my career," said Jeff Wang, Windsurf's former head of business, who was made interim CEO of the startup days ago after Google hired the startup's leaders, in a [post](#) on LinkedIn. "To our new teammates at Cognition: we at Windsurf feel incredibly lucky to be joining a team that shares our vision, our deep commitment to our users, and — most importantly — our values."

IMAGE CREDITS: COGNITION

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Cognition says it’s acquiring Windsurf’s IP and product, which include its AI-powered IDE, alongside all of the employees who were not hired by Google.

Cognition did not announce the price it acquired Windsurf for; however, the company says Windsurf reached \$82 million in ARR, with enterprise ARR doubling quarter-over-quarter. Cognition says Windsurf’s user base reached at least 350 enterprise customers and “hundreds of thousands” of daily active users.

In the near term, Windsurf’s team will continue working on its AI-powered IDE, while Cognition works on its AI coding agent, Devin, the companies said in a press release. Eventually, Cognition says it will integrate Windsurf’s IP and capabilities into its own products.

TechCrunch reported in April that [Windsurf’s ARR had reached \\$100 million](#) at one point. However, Anthropic — which offers some of the most popular AI models for coding tasks — cut Windsurf’s direct access to its Claude AI models in June, with [Anthropic co-founder Jared Kaplan attributing the decision to rumors](#) that OpenAI, its largest competitor, was close to acquiring Windsurf. Several Windsurf customers told TechCrunch [they switched to other services that offered Claude AI models](#), such as Cursor, in light of the incident.

Cognition notes in its press release that Windsurf will now have full access to Claude AI models once again.

Over the weekend, The Information reported that Windsurf employees who had joined in the last year [did not receive a payout in Google’s billion-dollar reverse-acquihire](#). That prompted many users on social media to scoff at the deal, which seemed to largely benefit investors and leaders at the startup.

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Cognition president Russell Kaplan indicated in a [post on X](#) that the Windsurf acquisition truly came together over the weekend, just hours after the Google deal was made public. He noted that the first call was made after 5 p.m. on Friday and that an agreement was signed Monday morning.

Incredibly excited to share that Cognition is acquiring Windsurf. What an insane weekend – from first call after 5pm on Friday to a signed definitive agreement this morning. There’s a lot to build! <https://t.co/UxwOG3QHVG>

— Russell Kaplan (@russelljkaplan) [July 14, 2025](#)

Cognition notes in its blog post that 100% of Windsurf employees will participate financially in this deal and have vesting cliffs waived for their work to date.

With the addition of Windsurf’s talent and IP, Cognition may have a supercharged startup to compete with giants in the AI coding space, such as OpenAI, Anthropic, and Cursor. In March, Cognition reportedly held talks to [raise hundreds of millions of dollars at a \\$4 billion valuation](#). It’s unclear if the round closed, but Cognition may need such a war chest to compete in the AI coding space.

Cognition was one of the first AI startups to launch a fully fledged AI coding agent, Devin, which didn’t just help with tasks, but also promised to automate them completely as if it were a junior software engineer. This was a markedly bold approach compared to Cursor and Windsurf, which offered environments for developers to easily access AI tools. However, early reviews found that [Devin made mistakes](#), perhaps indicating that its AI agent technology was ahead of its time.

That may no longer be the case. In recent months, Cursor and Windsurf have started offering more agentic AI products that are starting to resemble what Cognition offers. In a recent interview, Cursor CEO Michael Truell said he [believes AI reasoning models are advancing enough to make coding agents viable](#) and that he expects 20% of coding workflows to be handled by agents by 2026.

Now Cognition has the versatility of offering both AI coding agents and an AI-powered IDE, perhaps enhancing its value proposition. Earlier this week, Cognition also landed a major customer in the [Wall Street juggernaut Goldman Sachs](#).

With the acquisition of Windsurf, it seems Cognition has become a more serious competitor in the AI coding space.

Update: A previous version of this article misstated what Windsurf's team will be doing at Cognition in the near term. This article was updated on July 14 to note that Windsurf's team will continue its normal work for now, and will eventually integrate its products into Cognition's offerings. We regret the error.

Topics: [AI](#) [ai coding](#) [cognition](#) [Windsurf](#)



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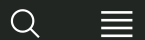
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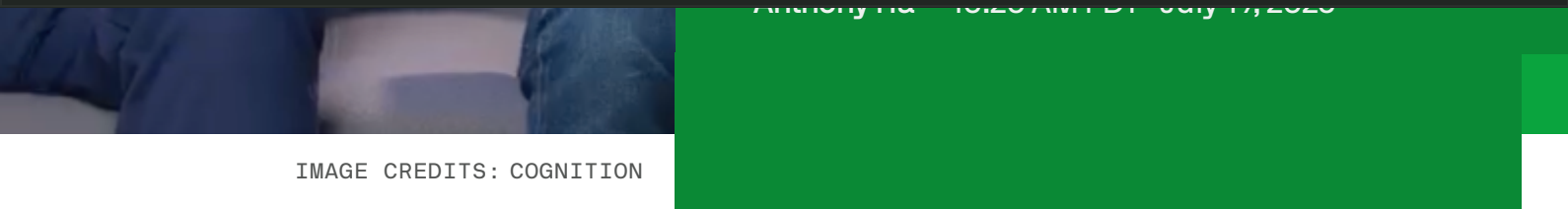


IMAGE CREDITS: COGNITION

Days after AI coding startup Windsurf announced that it's being [acquired by Cognition](#), Windsurf exec Jeff Wang [took to X](#) to offer more details about the drama and uncertainty around the deal.

Windsurf was previously reported to be in [acquisition talks with OpenAI](#), but that deal fell apart, with [Google DeepMind instead hiring the startup's CEO Varun Mohan](#), co-founder Douglas Chen, and some of its top researchers. Google would reportedly license Windsurf's technology as part of the \$2.4 billion deal — but not take an equity stake in the company.

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This looked like the latest in [the trend of “reverse acqui-hires,”](#) in which large tech companies seek to avoid antitrust scrutiny by hiring key startup team members and licensing their technology, rather than acquiring startups outright.

But what happens to the startups and the employees who get left behind? As we discussed on [the latest episode of Equity](#), one startup founder compared the departing Windsurf executives to a captain abandoning his crew on a sinking ship.

Wang, who had been Windsurf’s head of business, became the company’s interim CEO after Mohan’s departure. In his post on X, he offered some sympathy to Mohan and Chen, who he described as “great founders” in a situation that “must have been difficult for them as well.”

Still, Wang recounted an all-hands meeting on Friday, June 11, where most team members were expecting to hear about the OpenAI acquisition. Instead, he had to share the news about the Google deal and resulting departures.

“The mood was very bleak,” Wang said. “Some people were upset about financial outcomes or colleagues leaving, while others were worried about the future. A few were in tears, and the Q&A had been understandably hostile.”

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In Wang’s view, although the company “had lost some great people and taken a serious blow to morale,” it still had “all of our IP, product, and strong talent including an excellent [go-to-market] machine.” So Windsurf could still try to raise more money, sell, or just keep going.

That evening, however, Wang heard from Cognition executives Scott Wu and Russell Kaplan, and he said Windsurf leadership “took the Cognition approach very seriously from the start and launched right into negotiations.” In his telling, what followed was a frantic weekend of discussions with Cognition, while considering inbound interest from other potential acquirers and meeting with Windsurf’s remaining engineers to convince them not to leave. (And as all that was happening, “the timeline was exploding with memes and commentary.”)

The two companies are a good fit, Wang argued, in part because of complementary teams.

“While [Cognition] had overinvested in engineering, they had frankly underinvested in GTM and Marketing, and our teams in those functions are nothing short of world class,” he said. “On the other hand, we now were missing a Core Engineering team, and there’s no better group of AI engineers than the lineup Cognition has assembled.”

Plus, Wang said he and Wu (pictured together above) were aligned on the need to “take care of all Windsurf employees.”

“That resulted in a key part of the deal: structuring it to give a payout to every employee, to waive all cliffs, and to accelerate all vesting for Windsurf equity,” he said.

The acquisition agreement was apparently signed at 9:30 am on Monday morning, announced to the team shortly afterwards at another all-hands, then [announced to the public](#) shortly after that.

In [an interview with Bloomberg](#), Wang described that Friday all-hands as “probably the worst day of 250 people’s lives,” followed Monday by “probably the best day.”

Topics: [AI](#) [cognition](#) [jeff wang](#)

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Anthony Ha



Anthony Ha is TechCrunch’s weekend editor. Previously, he worked as a tech reporter at Adweek, a senior editor at...

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iMerit believes better-quality data, not more data, is the future of AI

Rebecca Bellan — 8:20 AM PDT · July 9, 2025

AI data platform **iMerit** believes the next step toward integrating AI tools at the enterprise level is not more data, but better data. And better data doesn't come from hordes of gig workers, but from experts across mathematics, medicine, healthcare, finance, autonomy, and other cognitive fields, the company says.

“What’s become exceedingly important is the ability to attract and retain the best cognitive experts, because we have to take these large models and make them very customized towards solving enterprise AI problems,” Radha Basu, CEO and founder of iMerit, told TechCrunch.

The California- and India-based startup has for the past nine years quietly built itself into a trusted data annotation partner for companies working in computer vision, medical imaging, autonomous

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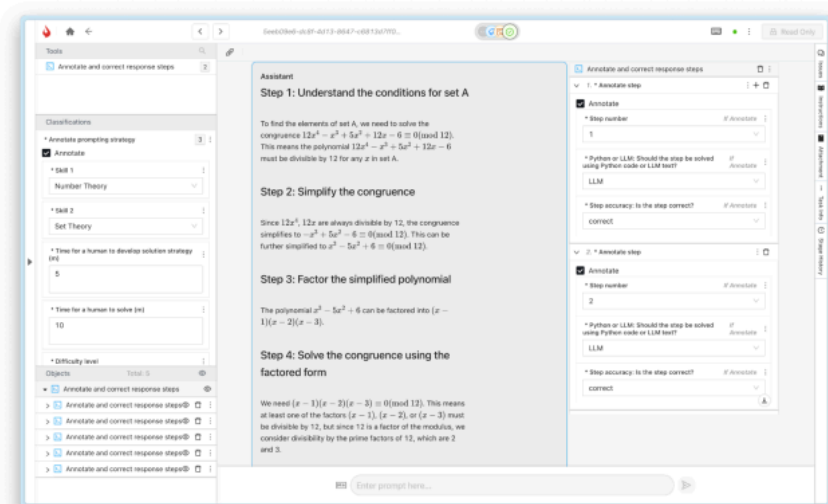


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mobility, and other AI applications that require high-accuracy, human-in-the-loop labeling.

Now, iMerit is bringing its Scholars program out of beta, the company exclusively told TechCrunch. The goal of the program is to build a growing workforce of experts to fine-tune generative AI models for enterprise applications and, increasingly, foundational models.

iMerit already calls some of the top AI firms customers, including three of the big seven generative AI companies, eight of the top autonomous vehicle companies, three large U.S. government agencies, and two of the top three cloud providers, according to the company.



IMERIT SCHOLARS WORKFLOW EXAMPLE FOCUSED ON MATHEMATICS

IMAGE CREDITS:IMERIT

The news comes as Scale AI, arguably the biggest name in AI data annotation, has lost its founder and CEO [Alexandr Wang to Meta](#), which also acquired a [49% in the company](#). In the wake of Meta's investment, many of Scale's major clients pulled back, including Google, OpenAI, Microsoft, and xAI, out of concerns that Meta could gain access to their product roadmaps.

iMerit doesn't claim to replace Scale AI's core offering of high-throughput, developer-focused "blitz data." Instead, it's betting that now is the right

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moment to double down on expert-led, high-quality data, the kind that requires deep human judgment and domain-specific oversight.



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“We’re the adults in the room,” Rob Laing, iMerit’s VP of global specialist workforce, told TechCrunch. “A lot of money is being spent on AI right now. There are some very intelligent people building large platforms of human workforces. The output that they’re getting from that mass approach and that very quick speed to market approach is not at the level of quality that enterprises need.”

Basu brought up the example of healthcare scribes that have come to market off the back of foundational large language models.

“If you don’t have the expertise of the cardiologist or the physician, what you’re doing is basically creating something that’s maybe 50% or 60% accurate,” Basu said. “You want that to be 99%. You want to question the model. You want to break it.

You want to fix it. That is what expert-led AI is making possible for enterprise.”

iMerit’s experts are tasked with finetuning, or “tormenting,” enterprise and foundational AI models using the startup’s proprietary platform Ango Hub. Ango allows iMerit’s “Scholars” to interact with the customer’s model to generate and evaluate problems for the model to solve.

For iMerritt, attracting and retaining cognitive experts is key to success because the experts aren’t just doing a few tasks and disappearing; they’re working on projects for multiple years. iMerit boasts a 91% retention rate, with 50% of its experts being women.

Laing, whose experience founding the [human translation platform myGengo](#) helped him understand how to crowdsource, said it’s relatively easy to get warm bodies to perform menial tasks. Creating community requires a more human-centered approach.

“Instead of someone being a name on a database, when someone joins the Scholars program, they actually meet folks on the team,” Laing said. “They have collaborative discussions. They’re very much pushed to work at the highest possible level. And we are very, very, very selective about how we bring people in.”

“I think what we’re going to see over the next couple of years is that companies like iMerit that are really focusing on that engagement, that retention, and that quality, are going to be the go-to companies for people to train the AI,” Laing added.

Today, iMerit works with over 4,000 Scholars and hopes to bring on more as it scales. Basu told TechCrunch that even though the company hasn’t raised since 2020 — when it brought on investors

like Khosla Ventures, Omidyar Network, Dell.org, and British International Investment — iMerit is sustainable and profitable. With its own cash reserves, iMerit can afford to scale to 10,000 experts, Basu said. To scale further would require more outside investment, which iMerit is open to, but not desperate for.

iMerit has been working on Scholars for the past year, mainly with a focus on healthcare. The goal is to grow across other enterprise applications, including finance and medicine. Laing noted that generative AI is its fastest-growing area as top AI firms work with iMerit to improve their foundation models.

“The free data out there on the internet is gone, and the lower level of human input data has also become commoditized,” Laing said. “Where these folks are going is really trying to tune these things to achieve AGI or superintelligence.”

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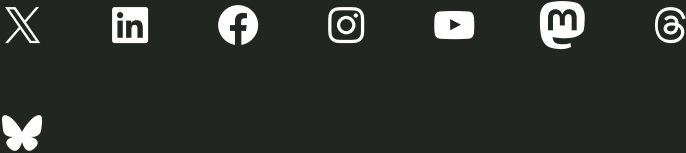
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